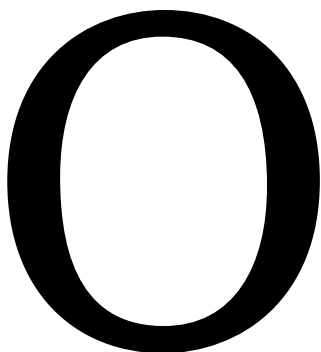




Over 75% business of the \$17-billion Syngenta comes from crop protection. The company was formed in 2000 with the merger of Novartis and AstraZeneca's agrichemical businesses. Steven Hawkins, President, Syngenta Crop Protection, talks with *Business Today's* Krishna Gopalan about why he is optimistic about India, the effects of geopolitical turmoil, and the overall outlook for agriculture. Edited excerpts:

Q: Every multinational corporation, without exception, says India is a critical market. What makes the country unique for your business?

A: India, for sure, is a critical growth market. We must understand a few things here. The development and sophistication of agricultural production, or productivity as you call it, must catch up. That is still quite low in India compared to the global average.

“India is a fragmented market, and I believe it will take time to consolidate because of the nature of the products. They are so much more specific and specialised and, by design, there will be more companies and more products”

The good news is that it has improved. I have been coming to India for 25 years and the improvement from what it was in the past is evident. One key reason for this is that the industry has been able to bring in new technologies.

Of course, India is exporting agricultural products. That is a relatively new phenomenon and means the use of new technologies is really important. For the farmers, there is now access to better agronomic production.

Beyond all this, India is always special for many reasons. For one, it's a huge country and the fact that it has more than 100 million small holders in agriculture is very interesting. Then, there is the fact of how rural India is connected to agriculture, with almost half of India's population somehow involved in the sector. These dynamics make agriculture extremely critical to the country. I don't think there's another market like India.

Q: Are there markets that are similar?

A: I have spent 10 years in Asia. You can pick markets like Indonesia or maybe others in Southeast Asia that are big on tropical agriculture.

What stands out about India is the extent of small holdings, the size of the country, diversity of crops and markets, plus the monsoon-driven nature of agriculture. You have tropical, subtropical agriculture and crops all in one country. That is also quite unique to India. | 13

I think the closest is Brazil with tropical agriculture and that's actually good news for India because of the scale at which Brazil has grown. If you go back 20 years and look at how the Brazilian market has grown compared to India during that period, there is no comparison. Brazil is now the largest market in the world for agricultural inputs, and the multiples of growth have been significantly higher than in India. But that's fine because it's a large grower's market and different from that perspective.

It's good to have these two tropical markets for companies to access, because Brazil's size will drive companies to bring innovation to farmers. That will include other tropical markets, and India can benefit from that. It would be difficult to develop a new active ingredient or other technologies just for India. But when you have Brazil in the mix, that's a motivation for companies to bring technology here.

Q: What did Brazil do right? Is there a lesson for India?

A: One thing that's fundamentally different is the